

HERNANDEZ AND ASSOCIATES, CPA

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January 28, 2026

Brittany and Eric Morales
4217 W San Rafael Street, Tampa, FL 33629

Re: Fourth Quarter 2025 Estimated Tax and 2026 Planning

Dear Brittany and Eric,

Thank you for sending your 2025 commission summaries. Based on Brittany's self employment income of approximately 95,000 dollars and Eric's W2 wages, your fourth quarter 2025 federal estimated payment of 4,150 dollars is due by January 15, 2026. Please confirm it was submitted so we can reconcile before filing.

Looking ahead to 2026, if Brittany reaches the 5,000,000 dollar volume target and roughly 120,000 dollars in commission income, we recommend raising the quarterly estimates to about 5,200 dollars per quarter. We will revisit after the first quarter results.

We also reviewed your question about the prospective rental condo near a 200,000 dollar purchase. A HELOC against the home equity may be more tax efficient than liquidating savings. Let us model both before you commit.

Please send your year end brokerage 1099 and desk fee totals by the second week of February so we can begin the 2025 return. We will schedule a planning call after that.

Warm regards,
Luis Hernandez, CPA
Hernandez and Associates